EXECUTIVE REPORT

CDT Equivalence Test — Simulated ETF Portfolio — First-Month Cutoff

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Cutoff date: September 25, 2026 (31 days / 1.0 month since opening)

Figures calculated with the author's own portfolio-tracking system, using official market closing prices for the cutoff date.

1. Executive Summary

This report answers one specific question: **can the simulated ETF portfolio deliver, every month, a withdrawal equivalent to the return of a 13% E.A. CDT without affecting the capital the investor actually disbursed?** (A CDT, certificado de depósito a término, is a Colombian fixed-term deposit; E.A. means effective annual rate.) A CDT at that rate yields 1.0237% per month; applied to the disbursed capital, this is equivalent to a target withdrawal of **$3,228,268.42 COP** for this first month.

Result: **the condition is NOT met.** At the close of September 25, 2026 the portfolio is worth $101,748.91 USD, that is, it was already $823.14 USD below the actual disbursed capital ($102,572.05 USD) before a single dollar was withdrawn. To deliver the CDT-equivalent amount, $999.55 USD would have to be extracted, which would leave the portfolio at $100,749.36 USD: $1,822.69 USD below the disbursed capital (-1.78%).

The market is not the main cause: the positions gained +$1,015.80 USD (+1.01% on the capital invested in the market), a result almost identical to the 1.02% the CDT yields in the month. The gap comes from entry costs (currency-conversion fee and GMF, the Colombian financial transactions tax) of $1,838.94 USD, equal to 1.79% of the disbursed capital, which by themselves exceed one month of CDT return. All conversion costs are calculated with the rates and fees of Global66 (an online currency-transfer platform), not with the official TRM (Colombia's representative market exchange rate).

2. Assumptions and Methodology

2.1 Portfolio assumptions (common to the ETF report)

- **Opening exchange rate:** the conversion of Colombian pesos into dollars was carried out at the Global66 trading rate — not at the official TRM — of $3,074.50 COP/USD. The transfer was assumed to have been ordered on August 20, 2026, allowing three business days for delivery to Interactive Brokers, so that the funds would be available on August 25, the opening date and the purchase date of the 13 positions.

- **Currency-conversion fee (Global66):** 1.4% on the amount sent, recorded by the platform as an "exchange-rate cost" with no additional operating costs (rate verified in a platform quote for a transfer equivalent to about USD 100,000). For the net capital invested to be $100,733.11 USD, the amount sent was $102,163.40 USD (capital ÷ (1 − 0.014)), with a fee of $1,430.29 USD.
- **GMF (4 x 1000):** the Gravamen a los Movimientos Financieros, a Colombian financial transactions tax of 0.4%, independent of Global66, applied on the amount sent ($102,163.40 USD), that is, $408.65 USD.
- **Actual capital disbursed:** $102,572.05 USD (about $315,357,771 COP at the rate of $3,074.50). This figure, and not the net amount invested in the market, is the correct basis against which the investor's actual return and the capital-preservation condition of this test are measured.
- **Transaction fees:** all trades are executed at Interactive Brokers under the IBKR Lite plan, with no commission per transaction on U.S.-listed stocks and ETFs.
- **Cash and dividends:** the $18.90 USD remainder from the SPY → SCHD rebalancing of September 17 and the $250.57 USD of dividends received during the month make up the cash (CASH) balance of $269.47 USD, which earns no return.

2.2 Assumptions specific to the CDT test

- **Reference rate:** CDT at 13% E.A.; equivalent monthly rate = (1.13)^(1/12) − 1 = 1.0237%.
- **Target amount in pesos:** actual capital disbursed × Global66 entry rate × monthly rate = $102,572.05 × 3,074.50 × 1.0237% = $3,228,268.42 COP.
- **Exit conversion:** the withdrawal is converted from USD to COP at the Global66 rate of the cutoff day ($3,329.61 COP/USD), and the platform charges a 3% exit fee, corresponding to the rate quoted on September 2026 for amounts between USD 950 and 1,000 (for amounts between USD 1,000 and 1,500 the quoted fee was 1.2%; Global66 sets different fees by day and by amount range, so this is a documented assumption of the exercise). Delivery in pesos for small amounts is the same day. For the net amount received to equal the target, the amount to extract is grossed up: USD = target ÷ (exit rate × (1 − 0.03)).
- **Comparison benchmark:** the S&P 500 in total return (^SP500TR, with dividends reinvested), the industry standard for analysis; the price index is shown only as context. The portfolio return is net of fees.
- **Order of liquidation:** the available cash (CASH) is used first and, if it is not enough, part of the winning position with the highest percentage return is sold. Positions at a loss are never sold.
- **Hard condition of the test:** after the total withdrawal, the portfolio value must be greater than or equal to the actual capital disbursed in USD ($102,572.05).
- **Tools:** the yfinance library, the VS Code platform and the Claude artificial-intelligence assistant were used to generate the data, tables, dividend calculations and charts; the code was subjected to rigorous review and correction by the author of this report. The code is available to any interested party.

3. Selection Criterion for the 13 Original Positions

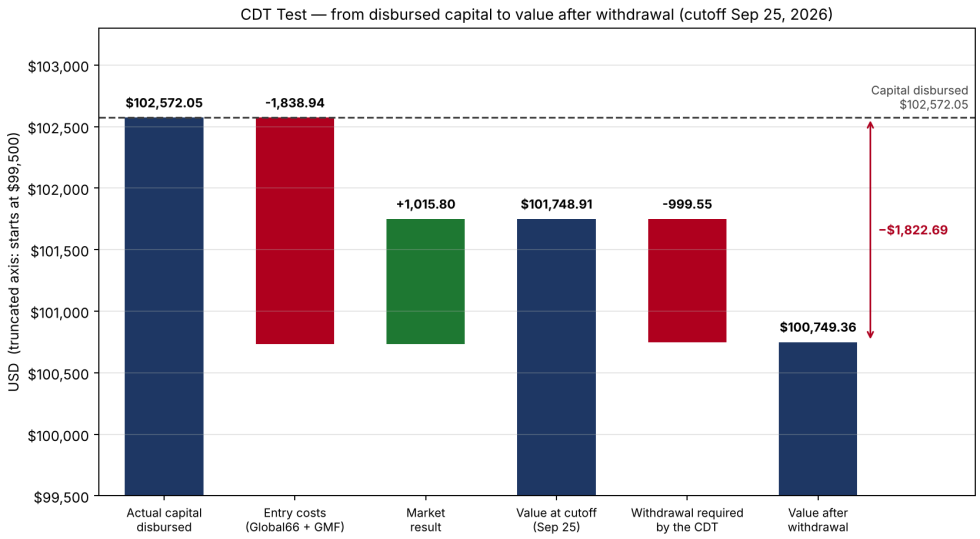
The selection of the 13 positions that opened the portfolio on August 25, 2026 incorporated, in addition to sector and geographic diversification, a performance filter: each asset had to show a positive total-return history over an extended horizon before its inclusion (5 years for most; 3 and 2 years for MAGS and IBIT, given their shorter trading history). Total return includes reinvested dividends, and the S&P 500 is also compared in total return (^SP500TR) so that both sides of the comparison are measured on the same basis; the price index (^GSPC) is shown only as a reference.

Position	Horizon	Period verified	Total return	S&P 500 (total return)	S&P 500 (price)	Beat it?
SOXX	5 years	2021-08-25 to 2026-08-25	+247.52%	+83.43%	+70.75%	Yes
XLE	5 years	2021-08-25 to 2026-08-25	+205.29%	+83.43%	+70.75%	Yes
COPX	5 years	2021-08-25 to 2026-08-25	+204.26%	+83.43%	+70.75%	Yes
GLD	5 years	2021-08-25 to 2026-08-25	+155.59%	+83.43%	+70.75%	Yes
XLK	5 years	2021-08-25 to 2026-08-25	+139.64%	+83.43%	+70.75%	Yes
MAGS	3 years	2023-08-25 to 2026-08-25	+131.24%	+81.31%	+74.26%	Yes
SPY	5 years	2021-08-25 to 2026-08-25	+82.55%	+83.43%	+70.75%	No
VTI	5 years	2021-08-25 to 2026-08-25	+74.99%	+83.43%	+70.75%	No
ILF	5 years	2021-08-25 to 2026-08-25	+70.21%	+83.43%	+70.75%	No
KBWB	5 years	2021-08-25 to 2026-08-25	+65.21%	+83.43%	+70.75%	No
IWM	5 years	2021-08-25 to 2026-08-25	+43.08%	+83.43%	+70.75%	No
XLV	5 years	2021-08-25 to 2026-08-25	+40.48%	+83.43%	+70.75%	No
IBIT	2 years	2024-08-25 to 2026-08-25	+23.91%	+40.14%	+36.68%	No

6 of the 13 positions beat the S&P 500 in total return over their verification horizon, and all of them recorded a positive total return. SPY and VTI did not beat it, which is expected: SPY replicates the index itself and VTI the U.S. market as a whole; against the price index they would have appeared superior only because of the effect of reinvested dividends. The rest (ILF, KBWB, IWM, XLV and IBIT) were included for their contribution to diversification; the performance filter was an additional criterion, not an exclusionary one.

4. Result of the CDT Test

The following chart breaks down the path from the disbursed capital to the portfolio value after the withdrawal. It is built from the figures of the test (it is not a daily price series); the axis starts at $99,500 to make the differences visible.



4.1 Calculation of the Target Amount and Settlement

Item	Value
Capital invested in the market (net)	$100,733.11 USD
Global66 fee (1.4%)	$1,430.29 USD
GMF (4 x 1000)	$408.65 USD
Actual capital disbursed	**$102,572.05 USD**
Global66 entry rate (Aug 20, 2026)	$3,074.50 COP/USD
Reference capital in pesos	$315,357,771.28 COP
Monthly CDT rate (13% E.A.)	1.0237%
Target amount for the month	**$3,228,268.42 COP**
Global66 exit rate (cutoff Sep 25, 2026)	$3,329.61 COP/USD
USD to extract (includes 3% exit fee)	$999.55 USD
Covered with cash (CASH)	$269.47 USD
Shortfall to cover with a sale	$730.08 USD
Required sale of SOXX (winner, +13.14%)	1.2748 shares × $572.68
Gross conversion to pesos	$3,328,111.77 COP

Item	Value
Global66 exit fee (3%)	-$99,843.35 COP (≈ $29.99 USD)
Net amount received	$3,228,268.42 COP

4.2 Verification of the Hard Condition

Item	Value
Portfolio value at cutoff (before the withdrawal)	$101,748.91 USD
Total withdrawal required	-$999.55 USD
Portfolio value after the withdrawal	$100,749.36 USD
Actual capital disbursed (threshold)	$102,572.05 USD
Difference versus the threshold	**-$1,822.69 USD (-1.78%)**
Is the capital preserved?	**NOT MET**

Since the condition is not met, the liquidation is not executed in this test: the portfolio keeps the composition in force at the cutoff, presented in the next section.

5. Composition and Performance at the Cutoff Close

The following table summarizes the 14 positions held at the close of September 25, 2026 (before any withdrawal), ordered from largest to smallest weight:

Position	Quantity	Price	Value (USD)	Weight %	Return %
SCHD	449.00	$33.21	$14,911.29	14.65%	-2.04%
SOXX	20.00	$572.68	$11,453.60	11.26%	+13.14%
VTI	27.00	$378.81	$10,227.98	10.05%	+0.46%
MAGS	119.00	$72.64	$8,644.16	8.50%	+8.10%
XLK	44.00	$196.27	$8,635.88	8.49%	+9.01%
XLE	127.00	$62.04	$7,879.08	7.74%	-1.70%
XLV	46.00	$170.70	$7,852.20	7.72%	-2.29%
GLD	19.00	$393.41	$7,474.79	7.35%	-7.80%
IBIT	112.00	$47.57	$5,327.84	5.24%	+6.56%
ILF	144.00	$34.75	$5,004.00	4.92%	-0.06%
IWM	17.00	$281.97	$4,793.49	4.71%	-5.37%

Position	Quantity	Price	Value (USD)	Weight %	Return %
KBWB	52.00	$89.97	$4,678.44	4.60%	-6.43%
COPX	53.00	$86.73	$4,596.69	4.52%	-8.25%
CASH	269.47	$1.00	$269.47	0.26%	+0.00%

Total portfolio value: $101,748.91 USD, of which $269.47 USD (0.26%) is cash. The dividends received during the month total $250.57 USD and are included in that cash and in the total value. They are detailed below, attributed to the exact payment date of each ETF and to the number of shares held by the portfolio that day:

Position	Payment date	Div. per share	Shares	Amount (USD)	% of total
SCHD	2026-09-23	$0.2670	449.00	$119.88	47.8%
XLE	2026-09-21	$0.3800	127.00	$48.26	19.3%
XLV	2026-09-21	$0.6420	46.00	$29.53	11.8%
KBWB	2026-09-21	$0.4600	52.00	$23.92	9.5%
IWM	2026-09-15	$0.7500	17.00	$12.75	5.1%
XLK	2026-09-21	$0.2210	44.00	$9.72	3.9%
SOXX	2026-09-15	$0.3250	20.00	$6.50	2.6%
TOTAL				**$250.57**	**100.0%**

Note: the amounts per position are shown rounded to the cent; the total of $250.57 USD corresponds to the sum of the unrounded values.

6. Analysis: Why Is the Condition Not Met?

6.1 The Problem Is in the Entry, Not in the Market

The breakdown of the result is as follows:

- Market result: +$1,015.80 USD (+1.01% on the $100,733.11 USD invested), practically equal to the 1.02% the CDT would have yielded.
- Entry costs: -$1,838.94 USD (Global66 fee $1,430.29 + GMF $408.65), equal to 1.79% of the disbursed capital.
- Net effect: -$823.14 USD (-0.80%), a figure consistent with the return in the ETF report.

Put differently: the cost of opening the position is equivalent to almost two months of return of a 13% E.A. CDT. Until that cost is amortized, any monthly withdrawal is necessarily made at the expense of capital.

6.2 What Would Have Had to Happen

To meet the condition, the value at cutoff would have had to be at least $102,572.05 + $999.55 = $103,571.60 USD, which is equivalent to a market return of +2.82% on the invested capital (versus the +1.01% observed). In other words, the portfolio would have needed to return about 2.8 times what it returned in the month. On top of this threshold comes the recurring cost of the exit: the 3% Global66 fee assumed for this withdrawal ($29.99 USD this month), which would be paid every month.

6.3 The Sale and the Macro Context

The position chosen for the liquidation would have been SOXX, the winner with the highest return (+13.14%), after exhausting the cash; no position at a loss would have been sold, in line with the project rule. The market result of the month was shaped by the rise in the 10-year U.S. Treasury yield (^TNX), from 4.639% to 5.184% (+54.5 basis points), which weighed on GLD (-7.80%), COPX (-8.25%), KBWB (-6.43%) and XLE (-1.70%), and was only partially offset by technology (SOXX +13.14%, XLK +9.01%, MAGS +8.10%) and IBIT (+6.56%). Over the same period, the S&P 500 returned +0.97% in total return (+0.86% in the price index).

6.4 Note on the Currency

The condition of this test is measured in dollars, the currency in which the investment is made. With the Global66 exit rate used ($3,329.61), the portfolio value is equivalent to about 338.8 million COP before the exit fee (about 328.6 million COP after the 3%), versus the 315.4 million COP disbursed; that difference is explained mainly by the change in the exchange rate (from $3,074.50 to $3,329.61, +8.3%) and not by the performance of the assets. It is a currency effect that can reverse and that does not replace meeting the condition in dollars.

6.5 Scope and Limitations

A single month does not allow conclusions about the long-term viability of the strategy. What it does establish is the starting arithmetic: with entry costs of 1.79%, an exit cost of 3% per withdrawal (an assumption based on the rate quoted for that range) and a target return of 1.0237% per month, the portfolio needs a market return consistently above that of the CDT to sustain withdrawals without consuming capital. It is worth noting that the result does not depend on the exit fee: even with no withdrawal at all, the value at cutoff ($101,748.91) was already below the disbursed capital ($102,572.05); with the 1.2% rate that applies to amounts between USD 1,000 and 1,500 the conclusion would have been the same.

7. Next Steps

- Keep the composition in force at the cutoff, since the liquidation was not executed, and record the test as not met in the first month.

- Define the date of the next evaluation: October 25, 2026 falls on a Sunday, so it is proposed to evaluate with the close of Friday, October 23 or Monday, October 26, and to apply the same criterion in all subsequent cutoffs.
- In the next evaluation, measure the hard condition on the actual capital disbursed ($102,572.05 USD), with the exit rate and fee quoted by Global66 that day, and report separately the market effect, the costs and the currency effect.
- Keep the explicit record of fees, cash remainders and dividends at each cutoff, using the same methodology as this report.